CTA PART TIME LEVEL 1 APPLIED TAXATION MOCK 2021

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All amounts are in the Zimbabwean Dollars (RTGS) and are exclusive of VAT

Question 1

Part 1

Tinashe Chisamba CA(Z) is a Lecturer and a consultant on a part time basis and has spent the past 30 years working in local Universities and SAICA where some of his tasks include marking and setting of both ITC and APC examinations. His area of expertise is Financial Accounting and Reporting and he works as a researcher and consultant for various audit firms in Zimbabwe. Tinashe retired on 30 November 2020 after he had an accident on his way to deliver a lecture in Bulawayo which rendered him permanently disabled. On his retirement, Tinashe was the dean of Faculty of Commerce at the University of Zimbabwe (UZ). He also turned 60 in 2020.

His income and expenditure details for the year ended 31 December 2020 are detailed below:

	Notes	$
Basic annual salary		600 000
Research and consultancy income	1	150 000
Leave pay		10 000
Gratuity	2	5000
Compensation for injury at work		30 000
Free use of motor vehicle	3	?
Medical aid fund contribution by UZ	4	10 800
Contribution to pension fund	5	(30 000)
Pension receipts	5	740 000
School fees waiver	6	20 800
Unregistered pension fund receipts	7	10 500
Loan	8	150 000
NSSA contribution	9	(1920)

Notes:

1. Tinashe received the money from the audit firm in South Africa after he successfully conducted a research for the firm on the impact of COVID 19 on Leases and Financial Instruments.
2. Tinashe received this amount on his retirement date.
3. When he was appointed the dean of the faculty of Commerce at UZ on 1 January 2020, Tinashe was given exclusive use of the University's 2019 Range Rover Velar up to the date of his retirement. There is a qualifying maintenance plan in respect to Range Rover Velar. The University is responsible for paying all expenses in respect of the vehicle including fuel. Fuel allowance granted was $2000 per month. Tinashe also used this car during his research and consultation work. Tinashe kept accurate records for all his travelling as follows:

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Kilometres travelled for business purposes during the year	24 000km
Kilometres travelled for private purposes	5 590km

On 30 August 2020, the market value of the vehicle was $190 000. UZ sold the vehicle to Tinashe for $100 000.

The engine capacity of the car is 3000cc.

4. Tinashe is a member of the medical aid fund with his wife and 2 kids. In terms of the rules of the fund, the employee should contribute 50% of the amount contributed by the employer. In addition to this contribution, UZ also paid qualifying medical expenses of $8000 for Tinashe when the accident happened.
5. The pension fund contributions are to a registered pension fund. In September 2020 Tinashe decided to cash out from the fund and he received a lump sum of $700 000 plus a monthly annuity of $10,000 commencing 1 September 2020. At the time of exiting the pension fund, Tinashe's pension entitlement was $1 200 000.
6. Tinashe's two kids are both studying accounting at UZ. The tuition fee per student is $10 400 per year. On Tinashe's retirement, the total fees for the 2020 academic year were outstanding and the university resolved to waiver the full amount.
7. During the first half of the year up to 30 June 2020, Tinashe was contributing $3000 per month to an unregistered pension fund. From October 2020, he started receiving $5000 per month from this fund.
8. When Tinashe was appointed the dean of the faculty of Commerce on 1 January 2020, he immediately enrolled for Masters in Business Administration at University of South Africa in order to equip himself with necessary expertise on how to run a business. UZ gave him a loan to the value of $150 000 which was payable in equal quarterly instalments. Tinashe used $100 000 to pay his school fees at University of South Africa. During his block visit in South Africa, Tinashe took the opportunity to tour South Africa and used the other $50 000. The interest rate on this loan was charged at 2% per annum. On Tinashe's retirement, the full amount was waived.
9. The NSSA contribution was deducted from Tinashe's salary and remitted to NSSA. UZ also contributed an equivalent amount to NSSA for the benefit of Tinashe.

Additional information:

- Tinashe was given 3 suits with a UZ logo which he normally wears at conferences and during presentations. UZ acquired each of the suits for an amount of $2000.
- Tinashe enjoys free lunch from the university's dining hall. The cost of this lunch is $6000.
- When Tinashe was appointed the dean, he was given the right to free use of a fully furnished house at the University. Since these houses are within the campus, and usually used by the university's employees, the market related rental cannot be ascertained. The house was furnished at a total cost of $150 000.

Part 2

One of Tinashe's friends, Munyaradzi Mapoka is struggling to determine his tax liability in relation to a house in Zimre Park which Munyaradzi inherited from his late father in December 2016 and in November

Commented [RM1]: With which university? Seems he did with an SA based university?

Commented [sIMM2R1]: he was working at UZ but enrolled with Unisa

2020 he sold it for $234,000. His father had originally bought the house for $240,000 in January 2013 and the estate valuation was $200,000 when he died. Munyaradzi's family (wife and children) had been living in the Zimre Park house since 2016, although he himself had been posted to work in Nyanga for the past 5 years by his employer and would visit her family occasionally. He used $50,000 of the proceeds to buy a house in Ruwa where he began staying on the 1st of December 2020. After realising that there was an opportunity to move into chicken farming, Munyaradzi also sold his Budiriro shop to his wife for $85,000 in December 2020. The shop had cost her $34,500 to construct in January 2017. Munyaradzi has been operating the retail shop and shall continue to do so although the building is now owned by the wife. The wife is also considering selling it in the future as both are seeing great financial potential and other health benefits from farming.

PART 3

Munyaradzi's wife, Lisa has approached you for your assistance in classifying the income that she earns between trade and investment income and employment income, as she has been made aware that these two income streams are taxed differently. Lisa co-owns a company with Vitalis, Velile Private Ltd (VL) which offers tax and accounting services. They each get paid a salary of $2,000 every month and split profits equally at the end of the year by way of dividend, with Lisa mainly responsible for the Financial reporting line in the business. Lisa has quality management systems skills which she offered to VL and was paid an additional $10,000 in recognition of the extra effort and skill she applied to get VL certified by the Standards Association of Zimbabwe (SAZ). Lisa is also contracted with a local academy CAA and twice a week she delivers lectures on Financial Accounting and Reporting to CTA students. She is paid a monthly fixed amount of $1,500 for the preparation and delivery of lectures and is paid separately for any marking and exam setting based on the quantity of work done. Lisa receives no other forms of income from CAA except the ones stated in the case study. From time to time, Lisa also features as a guest lecturer at two Universities and is paid per lecture delivered. The payments by the universities are expected to cover for travel and logistics costs. In 2020 she received a total of $7,500 for these University lectures and had used $750 for travel and board.

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PART 4 (This part is independent of all other parts).

All amounts are stated in ZWL and are exclusive of VAT unless stated otherwise.

BACKGROUND

PAC Chartered Accountants ('PAC') is an audit firm based in Bulawayo that focuses on providing assurance services to medium-sized private companies and small listed companies. PAC also provides taxation advisory services to both audit and non-audit clients. PAC is a member of PAC of the PAC network family which has headquarters in Mauritius.

It has been very challenging for the past few years for PAC. The audit profession's reputation has been tarnished by the accounting scandals at several listed companies. PAC's audit clients are increasingly questioning the quality control systems in place at the firm, as well as its independence. In addition, clients are generally reluctant to agree to audit fee increases due to the prevailing economic conditions.

PAC generates revenue by rendering professional services to clients, billed at an hourly rate for the time spent by its staff on various engagements. The rates vary per employee category. The responsibilities of the various employee categories in the tax division are similar to those of the audit division except that they do not issue audit opinions but rather provide advice and technical opinions for clients on tax matters.

PAC is a category C registered VAT operator, and all amounts are exclusive of VAT unless otherwise indicated.

The following transactions took place in the 2020 year of Assessment:

1. In February 2020, PAC installed new auditing software from an American vendor to help in the audit work. To help the staff with this new software, PAC hired an American expert to come for two weeks and train their staff. The cost of training was $15,000 and accommodation and food for the expert was $12,000 and the licence cost $150,000.
2. During the year 2020, PAC declared a dividend to both its local and foreign partners of $200,000.
3. PAC also expensed unrealised exchange losses of $7,850 during the year.
4. PAC received Dividends of $150,000 in respect of an equity investment in a company listed on the Botswana Stock Exchange and were received net of 10% withholding tax. There is a double taxation Agreement between Botswana and Zimbabwe which allows a double taxation relief of 5%.
5. Received Bank Interest from a bank in the Republic of South Africa of $350,000. South Africa charges tax at 15% on Bank interest.
6. Dividends of $300,000 were received from Econet wireless a company listed on the ZSE.

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7. Received Dividends of $100,000 from a company incorporated in Australia. There is no double taxation agreement between Zimbabwe and Australia. Dividends are taxed at 15% in Australia.
8. During the year, PAC sold is registered patent for $300,000 to another firm in the PAC network family. The patent had a carrying amount of $200,000 and PAC had incurred $200,000 to acquire the patent three years ago. The patent was registered in terms of the Patents Act [Chapter 26.03].
9. PAC is facing a lawsuit from one of its clients over confidentiality issues and the firm has a culture of classifying legal fees from such lawsuits as general consulting services from experts so that the costs can be deducted for tax purposes.